

Subject Code	AF5645
Subject Title	Managerial Economics and Digital Transformation
Credit Value	3
Level	5
Normal Duration	One semester
Pre-requisite / Co-requisite/ Exclusion	Nil
Objectives	This subject contributes to the Programme Learning Outcome 2 by developing students' skills in data science and the digital economy. It does so by applying the framework of managerial economics and business strategy to the evaluation of market and a firm's digital transformation.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: a. Apply appropriate frameworks in managerial economics to evaluate real-world firm behavior and strategy. b. Understand and apply statistical and/or data science tools to analyze consumer behavior. c. Analyze various real-world firm pricing and business strategies; and d. Evaluate firm-specific digital transformation initiative.
Subject Synopsis/ Indicative Syllabus	Understanding the Functioning of Market Market Demand and Supply; Changes in Supply and Demand; Market Equilibrium; Application to markets in China. Consumer and Producer Behavior Data-science in Demand Estimation; Consumer Surplus; Demand; Elasticity of Demand; Production Function; Costs; Profit Maximization; Producer Surplus; Returns to Scale; Law of Diminishing Return. Value Capture and Pricing Strategy From Value Creation to Value Capture; Monopoly and Monopolistic Competition; Pricing Strategy; Application to China Business. Game Theory and Business Strategy Prisoner's Dilemma; Dominant Strategy; Price War; Repeated Game; Game of Coordination; Application to China Business. Economics and Business Strategy in the Digital Age Network Economy; Pricing of Information; Lockin; Electronic markets; Application to China Business.
Teaching/Learning Methodology	This subject will be taught in both lecture and seminar formats, emphasizing key issues in managerial economics and business strategy with applications to decision-making in China business.

Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed					
			a	b	c	d		
	1. Class Participation	10%	√	√	√	√		
	2. Presentationand Written Report	40%	√	√	√	√		
	3. Final Examination	50%	√	√	√	√		
	Total	100 %						
Explanation of the appropriateness of the assessment methods in assessingthe intended learning outcomes: Class Participation – Students should read relevant lecture materials before the class and participate actively in class discussion, which helps develop theskills and acquire the knowledge and tools for business decision analysis. Group Presentation and Written Report – Through group discussion, students working on an assigned problem by applying the knowledge and tools learned in the lecture and associated readings, presenting it to the classand writing it up as a report. This process helps develop students’ ability to analyze key issues related to learning outcomes. Final Exam – Through the exam students are accessed in terms of the overall effectiveness of their command of the subject learning outcomes. <i>To reflect the significant technology content in this subject, 10% (or more) of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge.</i>								
Student Study Effort Expected	Class contact:							
	▪ Lectures / Presentation and discussion					39 Hrs.		
	Other student study effort:							
	▪ Preparation for lectures and class discussion					39 Hrs.		
	▪ Preparation for assignment / project and presentation					39 Hrs.		
	Total student study effort					117 Hrs.		
Reading List and References	• Baye, Michael and Jeffrey Prince (2022). Managerial Economics andBusiness Strategy, 10th edition, McGraw Hill. • Mankiw, Gregory (2024). Principles of Microeconomics, 10th edition, Cengage Learning. • Øverby, Harald and Jan Arild Audestad (2021). Introduction to Digital Economics: Foundations, Business Models and Case Studies. 2nd ed. 2021 Edition. Springer. • Shapiro, Carl and Varian, Hal (1998). Information Rules: A Strategic Guide tothe Network Economy. Harvard Business School Press.							